LANKA ORIX LEASING COMPANY PLC

INTERIM FINANCIAL STATEMENTS

SIX MONTH PERIOD ENDED 30 SEPTEMBER 2015

Lanka Orix Leasing Company PLC
Interim Financial Statements
For the six month period ended 30 September 2015

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Lanka Orix Leasing Company PLC
Statement of Financial Position

Group	Company		Group		Company	
31-Mar-15	**31-Mar-15**	*As at*	**30-Sep-15**	**30-Sep-14**	**30-Sep-15**	**30-Sep-14**
Rs.' 000	**Rs.' 000**		**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**
			Un-audited	**Un-audited**	**Un-audited**	**Un-audited**
		Assets				
7,934,390	229,710	Cash and cash equivalents	8,661,037	5,609,149	357,694	24,666
1,106,441	514,556	Trading assets - fair value through profit or loss	861,153	941,690	559,111	619,349
18,302,263	681,970	Investment securities	24,180,114	18,492,978	745,554	681,547
41,335,375	1,684	Finance lease receivables, hire purchases and operating leases	49,395,708	39,205,091	-	-
98,525,051	1,310,259	Advances and other loans	123,255,774	76,505,762	752,134	1,352,186
602,099	-	Insurance premium receivables	680,179	521,099	-	-
1,833,672	10,250	Inventories	3,127,641	1,308,076	422,272	35,214
1,183,563	213,429	Current tax assets	179,380	143,761	-	17,437
9,103,067	5,526,203	Trade and other current assets	13,364,702	8,466,011	15,119,812	7,947,808
342,816	-	Prepaid lease rentals on leasehold properties	706,454	49,507	-	-
8,807,369	344,000	Investment properties	9,068,940	7,156,550	344,000	331,500
-	-	Real estate stocks	-	-	-	-
		Biological Assets;				
6,383,655	-	Consumer Biological Assets	6,388,495	-	-	-
5,803,318	-	Bearer Biological Assets	5,888,972	-	-	-
		Investments in group companies;				
-	42,126,050	Subsidiary companies	-	-	42,126,053	32,892,909
-	-	Jointly controlled entities	-	1,407,517	-	14,298
15,067,850	7,650,205	Equity accounted investees - Associates	16,355,651	14,270,847	7,806,262	7,535,124
516,785	61,120	Deferred tax assets	386,588	411,640	149,675	81,272
2,251,313	140,021	Intangible assets	2,225,869	2,232,138	124,096	127,570
26,964,198	3,799,803	Property, plant and equipment	27,706,417	22,659,000	4,046,189	3,562,567
246,063,225	**62,609,260**	**Total assets**	**292,433,074**	**199,380,816**	**72,552,852**	**55,223,447**
		Liabilities and equity				
		Liabilities				
6,118,548	354,777	Bank overdrafts	5,584,641	4,170,690	1,091,442	2,073,847
501,490	1,203	Trading liabilities - fair value through profit or loss	87,156	420,921	-	-
50,587,239	-	Deposits liabilities	65,480,993	52,764,722	-	-
113,113,592	24,661,179	Interest bearing borrowings	136,676,717	84,337,060	35,011,784	17,999,892
774,865	-	Insurance provision - life	957,761	347,402	-	-
1,595,644	-	Insurance provision - general	1,861,174	1,317,144	-	-
1,635,727	193,901	Current tax payables	1,875,943	1,133,930	24,376	-
8,074,796	2,327,317	Trade and other payables	11,886,282	6,927,692	1,066,914	414,878
3,404,404	-	Deferred tax liabilities	3,264,205	2,318,146	88,554	88,554
470,526	-	Deferred income	463,749	31,278	-	-
2,518,644	174,515	Retirement benefit obligations	2,466,538	381,157	186,097	152,802
188,795,475	**27,712,892**	**Total liabilities**	**230,605,159**	**154,150,142**	**37,469,167**	**20,729,973**
		Equity				
475,200	475,200	Stated capital (475,200,000 shares)	475,200	475,200	475,200	475,200
5,304,386	1,772,798	Reserves	5,304,360	5,791,651	1,829,498	1,807,288
22,713,066	32,648,370	Retained earnings	26,956,793	19,469,013	32,778,987	32,210,986
28,492,652	**34,896,368**	**Equity attributable to shareholders of the Company**	**32,736,353**	**25,735,864**	**35,083,685**	**34,493,474**
28,775,098	**-**	**Non-controlling interests**	**29,091,562**	**19,494,810**	**-**	**-**
57,267,750	**34,896,368**	**Total equity**	**61,827,915**	**45,230,674**	**35,083,685**	**34,493,474**
246,063,225	**62,609,260**	**Total liabilities & equity**	**292,433,074**	**199,380,816**	**72,552,852**	**55,223,447**
59.96	**73.44**	**Net assets per share (Rs.)**	**68.89**	**54.16**	**73.83**	**72.59**

I certify that these Financial Statements have been prepared and presented in compliance with the requirements of the Companies Act, No.07 of 2007.

Sgd.
Mrs. S.S. Kotakadeniya
Chief Financial Officer - LOLC Group

The board of directors is responsible for the preparation and the presentation of these Financial Statements.
Approved and signed for and on behalf of the Board;

Sgd.
Mrs. K U Amarasinghe
Director
10th November 2015, Rajagiriya (Greater Colombo)

Sgd.
Mr. W.D.K. Jayawardena
Group Managing Director / CEO

Lanka Orix Leasing Company PLC
Statement of Profit or Loss

	Group					Company				
	Three Months Ended		Six Months Ended			Three Months Ended		Six Months Ended		
	30-Sep-15 Rs.' 000	30-Sep-14 Rs.' 000	30-Sep-15 Rs.' 000	30-Sep-14 Rs.' 000	Variance %	30-Sep-15 Rs.' 000	30-Sep-14 Rs.' 000	30-Sep-15 Rs.' 000	30-Sep-14 Rs.' 000	Variance %
Gross income	**16,420,303**	**10,805,538**	**30,798,838**	**19,965,803**	**54**	**1,000,405**	**655,176**	**1,866,277**	**1,231,424**	**52**
Interest income	9,352,489	6,387,824	17,510,040	12,128,403	44	478,413	236,233	763,286	436,692	75
Interest expense	(4,508,243)	(3,025,458)	(8,320,643)	(6,154,016)	35	(741,707)	(404,713)	(1,362,925)	(801,965)	70
Net interest income	**4,844,246**	**3,362,366**	**9,189,397**	**5,974,387**	**54**	**(263,294)**	**(168,480)**	**(599,639)**	**(365,273)**	**145**
Revenue	5,189,030	2,537,153	9,253,968	4,805,531	93	-	-	-	-	-
Less: cost of sales	(3,585,261)	(1,743,317)	(6,200,239)	(3,390,481)	83	-	-	-	-	-
Gross profit	**1,603,769**	**793,836**	**3,053,729**	**1,415,050**	**116**	**-**	**-**	**-**	**-**	**-**
Income	1,934,728	1,313,458	3,524,284	2,373,315	48	11,337	30,890	17,011	38,087	(55)
Other income/(expenses)	(55,944)	567,103	510,546	658,554	(22)	510,655	388,053	1,085,980	756,645	44
Profit before operating expenses	**8,326,799**	**6,036,763**	**16,277,956**	**10,421,306**	**56**	**258,698**	**250,463**	**503,352**	**429,459**	**17**
Operating expenses										
Direct expenses excluding finance costs	(992,592)	(582,067)	(1,881,515)	(1,198,723)	57	(6,808)	(4,440)	(15,969)	(10,555)	51
Personnel costs	(2,093,214)	(1,082,877)	(4,176,580)	(1,977,850)	111	(33,999)	(25,692)	(67,936)	(51,274)	32
Net impairment (loss) / reversal on financial assets	(780,318)	(799,162)	(1,340,874)	(1,677,978)	(20)	(145)	(1,065)	(403)	(3,740)	(89)
Depreciation and amortization	(323,897)	(212,275)	(653,740)	(446,792)	46	(74,258)	(83,389)	(145,804)	(162,228)	(10)
Other operating expenses	(1,630,869)	(1,631,789)	(3,607,997)	(2,460,861)	47	(108,713)	(114,104)	(142,623)	(135,491)	5
Results from operating activities	**2,505,909**	**1,728,593**	**4,617,250**	**2,659,102**	**74**	**34,775**	**21,773**	**130,617**	**66,171**	**97**
Share of profits of equity accounted investees	679,600	625,380	1,256,646	1,048,699	20	-	-	-	-	-
Profit before income tax expense	**3,185,509**	**2,353,973**	**5,873,896**	**3,707,801**	**58**	**34,775**	**21,773**	**130,617**	**66,171**	**97**
Income tax expense	(789,171)	(560,909)	(1,413,655)	(902,263)	57	-	-	-	-	-
Profit for the period	**2,396,338**	**1,793,064**	**4,460,241**	**2,805,538**	**59**	**34,775**	**21,773**	**130,617**	**66,171**	**97**
Profit attributable to;										
Equity holders of the Company	2,158,796	1,585,909	4,010,241	2,512,369	60	34,775	21,773	130,617	66,171	97
Non-controlling interests	237,542	207,155	450,000	293,169	53	-	-	-	-	-
	2,396,338	**1,793,064**	**4,460,241**	**2,805,538**	**59**	**34,775**	**21,773**	**130,617**	**66,171**	**97**
Basic earnings per share (Rs.)	**4.54**	**3.34**	**8.44**	**5.29**	**60**	**0.07**	**0.05**	**0.27**	**0.14**	**97**

Figures in brackets indicate deductions.

Statement of Other Comprehensive Income

	Group				Company			
	Three Months Ended		Six Months Ended		Three Months Ended		Six Months Ended	
	30-Sep-15 Rs.' 000	30-Sep-14 Rs.' 000	30-Sep-15 Rs.' 000	30-Sep-14 Rs.' 000	30-Sep-15 Rs.' 000	30-Sep-14 Rs.' 000	30-Sep-15 Rs.' 000	30-Sep-14 Rs.' 000
Profit for the period	**2,396,338**	**1,793,064**	**4,460,241**	**2,805,538**	**34,775**	**21,773**	**130,617**	**66,171**
Other comprehensive income								
Net change in fair value of available-for-sale financial assets	(143,455)	328,736	(3,564)	436,833	(28,153)	298,026	58,246	298,026
Revaluation of property, plant & equipment	-	-	-	-				
Net movement of cash flow hedges	67,527	130,598	81,749	3,666	-	(24,269)	(1,546)	-
Effect on translation differences for foreign operations	262,792	(152,979)	192,554	(153,805)	-	-	-	-
	-	-	-	-	-	-	-	-
Other comprehensive income/ (expense) for the year, net of tax	**186,864**	**306,355**	**270,739**	**286,694**	**(28,153)**	**273,757**	**56,700**	**298,026**
Total comprehensive income / (expense) for the period	**2,583,202**	**2,099,419**	**4,730,980**	**3,092,232**	**6,622**	**295,530**	**187,317**	**364,197**
Total comprehensive income / (expense) attributable to;								
Equity holders of the Company	2,228,066	1,977,149	4,210,499	2,869,463	6,622	295,530	187,317	364,197
Non-controlling interests	355,136	122,270	520,481	222,769	-	-	-	-
Total comprehensive income / (expense) for the period	**2,583,202**	**2,099,419**	**4,730,980**	**3,092,232**	**6,622**	**295,530**	**187,317**	**364,197**

Figures in brackets indicate deductions.

Lanka Orix Leasing Company PLC
Statement of Changes in Equity
For the six month period ended 30 September 2015

Company	Equity attibutable to the shareholders of the Company						
	Stated Capital	Revaluation Reserve	Cash flow hedge Reserve	Fair Value Reserve on AFS	Future Taxation Reserve	Retained Earnings	Total
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Balance as at 01 April 2014	**475,200**	**1,300,116**	**4,146**	**-**	**205,000**	**32,144,815**	**34,129,277**
Total comprehensive income for the period							
Profit for the period	-	-	-	-	-	66,171	**66,171**
Other comprehensive income							
Net change in fair value of available-for-sale financial assets (net of tax)	-	-	-	298,026	-	-	**298,026**
Total comprehensive income for the period	-	-	-	298,026	-	66,171	**364,197**
Balance as at 30 September 2014	**475,200**	**1,300,116**	**4,146**	**298,026**	**205,000**	**32,210,986**	**34,493,474**
Balance as at 01 April 2015	**475,200**	**1,300,116**	**719**	**266,963**	**205,000**	**32,648,370**	**34,896,368**
Total comprehensive income for the period							
Profit for the period	-	-	-	-	-	130,617	**130,617**
Other comprehensive income							
Net change in fair value of available-for-sale financial assets (net of tax)	-	-	-	58,246	-	-	**58,246**
Net movement of cash flow hedges	-	-	(1,546)	-	-	-	**(1,546)**
Total comprehensive income for the period	**-**	**-**	**(1,546)**	**58,246**	**-**	**130,617**	**187,317**
Balance as at 30 September 2015	**475,200**	**1,300,116**	**(827)**	**325,209**	**205,000**	**32,778,987**	**35,083,685**

Figures in brackets indicate deductions.

Lanka Orix Leasing Company PLC

Statement of Changes in Equity

For the six month period ended 30 September 2015

Group	Equity Attributable to the Owners of the Company											
	Stated Capital	Revaluation Reserve	Cash flow hedge Reserve	Fair Value Reserve on	Translation Reserve	Future Taxation	Statutory Reserve Fund	Investment Fund	Retained Earnings	Total	Non-controlling	Total Equity
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Balance as at 01 April 2014	**475,200**	**2,752,543**	**28,394**	**167,018**	**161,493**	**205,000**	**1,290,782**	**752,675**	**17,069,012**	**22,902,117**	**17,017,962**	**39,920,079**
Total comprehensive income for the period												
Profit for the period	-	-	-	-	-	-	-	-	2,512,369	**2,512,369**	293,169	**2,805,538**
Other comprehensive income												
Net change in fair value of available-for-sale financial assets	-	-	-	482,896	-	-	-	-	-	**482,896**	(46,063)	**436,833**
Net movement of cash flow hedges	-	-	(127,460)	-		-	-	-	-	**(127,460)**	(26,345)	**(153,805)**
Effect on translation differences for foreign operations	-	-	-	-	1,658	-	-	-	-	**1,658**	2,008	**3,666**
Total comprehensive income for the period	**-**	**-**	**(127,460)**	**482,896**	**1,658**	**-**	**-**	**-**	**2,512,369**	**2,869,463**	**222,769**	**3,092,232**
Dividends paid during the period	-	-	-	-	-	-	-	-	-	**-**	(72,299)	**(72,299)**
Acquisition of non-controlling interests	-	-	-	-	-	-	-	-	-	**-**	1,319,932	**1,319,932**
Adjustments due to changes in group holdings and other consolidation adjustments	-		-	-	-	-	-	-	(30,866)	**(30,866)**	(8,675)	**(39,541)**
Depreciation transfer on revaluation	-	(1,182)	-	-	-	-	-	-	1,182	**-**	-	**-**
Share issue of subsidiaries	-	-	-	-	-	-		-	-	**-**	1,026,715	**1,026,715**
Share issue expenses	-	-	-	-	-	-	-		(4,850)	**(4,850)**	(11,594)	**(16,444)**
Transfers to investment fund	-		-	-	-	-	-	77,834	(77,834)	**-**	-	**-**
Balance as at 30 September 2014	**475,200**	**2,751,361**	**(99,066)**	**649,914**	**163,151**	**205,000**	**1,290,782**	**830,509**	**19,469,013**	**25,735,864**	**19,494,810**	**45,230,674**
Balance as at 01 April 2015	**475,200**	**2,932,414**	**(102,894)**	**244,963**	**327,120**	**205,000**	**1,697,783**	**-**	**22,713,066**	**28,492,652**	**28,775,098**	**57,267,750**
Total comprehensive income for the period												
Profit for the period	-	-	-	-	-	-	-	-	4,010,241	**4,010,241**	450,000	**4,460,241**
Other comprehensive income												
Net change in fair value of available-for-sale financial assets	-	-	-	(562)	-	-	-	-	-	**(562)**	(3,002)	**(3,564)**
Net movement of cash flow hedges	-	-	99,823	-	-	-	-	-	-	**99,823**	(18,074)	**81,749**
Effect on translation differences for foreign operations	-	-	-	-	100,997	-	-	-	-	**100,997**	91,557	**192,554**
Defined benefit plan actuarial gains / (losses)	-	-	-	-	-	-	-	-		**-**		**-**
Total comprehensive income for the period	**-**	**-**	**99,823**	**(562)**	**100,997**	**-**	**-**	**-**	**4,010,241**	**4,210,499**	**520,481**	**4,730,980**
Dividends paid during the period	-	-	-	-	-	-	-	-	-	**-**	(144,979)	**(144,979)**
Dividend forfieted									3,676	**3,676**	33	**3,709**
Acquisition of non-controlling interests	-	-	-	-	-	-	-	-	55,811	**55,811**	(282,550)	**(226,739)**
Adjustments due to changes in group holdings and other consolidation adjustments		-	-	-	-	-	-	-	(26,285)	**(26,285)**	223,479	**197,194**
Transfers	-	-	-	-	-	-	(200,284)	-	200,284	**-**	-	**-**
Balance as at 30 September 2015	**475,200**	**2,932,414**	**(3,071)**	**244,401**	**428,117**	**205,000**	**1,497,499**	**-**	**26,956,793**	**32,736,353**	**29,091,562**	**61,827,915**

Figures in brackets indicate deductions.

Lanka Orix Leasing Company PLC
Statement of Cash Flows

For the six months ended 30 September	Group		Company	
	2015	**2014**	**2015**	**2014**
	Rs.' 000	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**
CASH FLOW FROM OPERATING ACTIVITIES				
Profit before income tax expense	5,873,896	3,707,801	130,617	66,171
Adjustment for:				
(Gain) / loss on sale of property, plant and equipment	(104,005)	(16,037)	(100,326)	(12,639)
Depreciation and amortization	653,740	446,792	145,804	162,228
Insurance provision	448,426	144,069	-	-
Change in fair value of forward contracts	(57,806)	107,275	-	-
Provision for gratuity	7,553	26,448	15,000	3,690
Net impairment (loss) / reversal on financial assets	1,340,874	1,677,978	403	3,740
Provision for fall/(increase) in value of investments	(67,949)	(236,420)	(44,555)	(176,246)
Investment Income	(68,522)	(30,113)	(106,757)	(8,533)
Finance costs	8,408,430	6,739,097	1,362,925	801,965
Interest income	(766,736)	(846,439)	-	(975)
(Profit)/loss on sale of quoted and non-quoted shares	(10,710)	(107,986)	-	49,404
Share of profits of equity accounted investees	(1,256,646)	(1,048,699)	-	-
Gains on bargain purchases (negative goodwill)	-	-	-	-
Fair value gain on previously held interest in BRAC	-	(15,589)	-	-
Loss on disposal of subsidiaires	4,865	-	-	-
Operating profit before working capital changes	**14,405,410**	**10,548,177**	**1,403,111**	**888,805**
Working capital changes				
Increase/(decrease) in trade and other payables	3,681,838	1,298,406	(1,645,416)	(23,220)
(Increase)/decrease in investment in leases, hire purchase and others	(8,778,754)	(3,743,207)	-	-
(Increase)/decrease in investment in advances and other loans	(25,353,177)	(8,518,427)	368,501	157,737
(Increase)/decrease in premium receivables	(78,080)	(71,510)	-	-
(Increase)/decrease in inventories	(1,293,969)	560,550	(412,022)	9,221
(Increase)/decrease in trade and other receivables	(3,652,178)	(1,693,391)	(9,364,256)	(5,121,192)
(Increase)/decrease in customer deposits	14,893,754	3,033,069	-	-
Cash generated from operations	**(6,175,156)**	**1,413,667**	**(9,650,082)**	**(4,088,649)**
Finance cost paid	(6,903,074)	(6,280,810)	(1,337,485)	(976,571)
Income tax and Economic Service Charge paid	(801,757)	(648,591)	(1,525)	(666)
Defined benefit plan costs paid	(58,764)	(7,699)	(3,418)	(3,400)
Net cash from/(used in) operating activities	**(13,938,751)**	**(5,523,433)**	**(10,992,510)**	**(5,069,286)**
CASH FLOW FROM INVESTING ACTIVITIES				
Investment in subsidiary companies	-	-	(3)	(267,930)
Net cash and cash equivalents on acquisition of subsidiary	-	(1,652,048)	-	-
Net cash and cash equivalents received on disposal of subsidiary	4,740	-	-	-
Investment in equity accounted investees	(156,057)	(93,429)	(156,056)	(525,874)
Acquisition of non-controlling interests	(226,739)	-	-	-
Acquisition of property, plant and equipment and leasehold rights	(2,019,134)	(1,110,558)	(261,590)	(131,679)
Acquisition / (Disposal) of intangible assets	(12,206)	(4,417)	-	(787)
Net additions to trading assets	323,947	(46,890)	-	43,030
Net additions to investment securities	(5,881,415)	(909,756)	(63,824)	16,813
Proceeds from the sale of property, plant and equipment	164,009	37,457	142,766	975
Interest received	766,736	846,439	-	8,533
Dividend received	193,424	30,113	106,757	-
Net additions to biological assets	(115,790)	-	-	-
Net cash flow from investing activities	**(6,958,485)**	**(2,903,089)**	**(231,950)**	**(856,919)**
CASH FLOW FROM FINANCING ACTIVITIES				
Net cash proceeds from short-term interest bearing loans and borrowings	7,656,658	4,120,221	7,002,769	4,924,442
Proceeds from long-term interest bearing loans and borrowings	18,399,273	5,401,668	5,189,502	(47,708)
Repayments of long-term interest bearing loans and borrowings	(3,998,162)	(2,949,074)	(1,576,492)	(694,226)
Dividends paid to non-controlling interests	(144,979)	(72,299)	-	-
Non-controlling interest contribution to share issue of subsidiaries	245,000	1,026,715	-	-
Share issue expenses	-	(16,444)	-	-
Net cash generated from financing activities	**22,157,790**	**7,510,787**	**10,615,779**	**4,182,508**
Net increase/(decrease) in cash and cash equivalents during the year	1,260,554	(915,735)	(608,681)	(1,743,697)
Cash and cash equivalents at the beginning of the year	1,815,842	2,354,194	(125,067)	(305,484)
Cash and cash equivalents at the end of the year	**3,076,396**	**1,438,459**	**(733,748)**	**(2,049,181)**
Analysis of cash and cash equivalents at the end of the year				
Cash in Hand and Favorable Bank Balances	8,661,037	5,609,149	357,694	24,666
Unfavorable Bank Balances used for cash management purposes	(5,584,641)	(4,170,690)	(1,091,442)	(2,073,847)
	3,076,396	**1,438,459**	**(733,748)**	**(2,049,181)**

1 The Statement of Financial Position as at 30 September 2015, Statement of Profit or Loss, Statement of Other Comprehensive Income, Statement of Cash Flows and Statement of Changes in Equity of the Company and the Group for the nine months ended thereof are drawn up from unaudited accounts of the Company, its subsidiaries, equity accounted investees (associates and joint ventures) and provide information as required by the Colombo Stock Exchange and LKAS 34. Further, provisions of the Companies Act No.7 of 2007 has been considered in preparing the said financial statements of the Company and of the Group.

2 Accounting policies and methods of computation as stated in the Annual Report for 2014/15 are followed in the preparation of these Interim Financial Statements.

3 Revenue includes revenue from trading, manufacturing, plantation and other activities of the Group.

4 Income represents the income receivable for the period on all contracts, rentals on operating leases, income on factoring of client debtors, earned premium on insurance contracts and IT service fees. It includes all income related to operations such as interest on overdue rentals, profit/loss on leases and loans terminated and collections on contracts written off.

5 Other income / (expenses) includes foreign exchange gains / (losses), realized capital gains, capital gains and losses arising from marked to market valuation of quoted shares held for trading purposes, rent income and dividend.

6 All expenses related to management expenditure is fully provided for in the financial statements.

7 There are no significant changes in the nature of the contingent liabilities disclosed in the Financial Statements for the year ended 31 March 2015

8 No circumstances have arisen since the reporting date, which would require adjustments to or disclosure in the financial statements other than the following.

Subsequent to the reporting date, the Group divested its 20% stake in Taprobane Holdings PLC (TAP) at a of value Rs. 5.50 per share accepting the mandatory offer made by the major shareholder.

In October 2015, Browns Capital PLC, a subsidiary of the Group acquired controlling stake (50.1%) of Saga Solar Power (Private) Limited (SSP) for a consideration of Rs. 407 Mn. SSP is to engage in to 10 MW solar power project at Baruthkanda in Hambantota.

9 Market prices of ordinary shares recorded during the quarter ended 30th September2015 are as follows;

	Rs.
Closing price	96.60
Highest Price (17 August 2015)	116.20
Lowest Price (30 September 2015)	95.00

10 Information on Company's listed debentures

- Interest rate of comparable government security

Buying and Selling prices of Treasury Bonds at the auction held on 25 September 2015

	4 Year Bond		5 Year Bond	
	Price (Rs.)	Yield (%)	Price (Rs.)	Yield (%)
Buying	99.93	8.77	104.14	9.33
Selling	100.32	8.62	104.82	9.12

Market prices and yield during the year (ex interest)

	Price (Rs.)	Yield (%)
4 Year Bond	100.13	8.69
5 Year Bond	104.48	9.23

Debt to equity	1.07	times
Interest cover	1.10	times
Quick asset ratio	0.69	times

Lanka Orix Leasing Company PLC
Statement of Financial Position

Valuation of Financial Assets and Liabilities

Rs'000

As at 30th September 2015 - Group	Fair value - derivatives	Fair value - held for trading	Fair value through other comprehensive income - available for sale	Amortised cost / Not measured at fair value	Total carrying amount	Fair value	Fair value measurement level
Trading assets - fair value through profit or loss	-	861,153	-	-	**861,153**	**861,153**	Level 1 and Level 2
Investment securities	-	-	24,180,114	-	**24,180,114**	**24,180,114**	Level 1 and Level 2
Finance lease receivables, hire purchases and operating leases	-	-	-	49,395,708	**49,395,708**	**49,957,240**	Level 3
Advances and other loans	-	-	-	123,255,774	**123,255,774**	**124,650,126**	Level 3
Total financial assets	**-**	**861,153**	**24,180,114**	**172,651,482**	**197,692,749**	**199,648,633**	
Trading liabilities - fair value through profit or loss	87,156	-	-	-	**87,156**	**87,156**	Level 1
Deposits liabilities	-	-	-	65,480,993	**65,480,993**	**64,998,207**	Level 3
Interest bearing borrowings	-	-	-	136,676,717	**136,676,717**	**134,962,412**	Level 3
Total financial liabilities	**87,156**	**-**	**-**	**202,157,710**	**202,244,866**	**200,047,775**	

As at 31st March 2015 - Group	Fair value - derivatives	Fair value - held for trading	Fair value through other comprehensive income - available for sale	Amortised cost / Not measured at fair value	Total carrying amount	Fair value	Fair value measurement level
Trading assets - fair value through profit or loss	-	1,106,441	-	-	**1,106,441**	**1,106,441**	Level 1 and Level 2
Investment securities	-	-	12,374,437	-	**12,374,437**	**12,413,079**	Level 1 and Level 2
Finance lease receivables, hire purchases and operating leases	-	-	-	41,335,375	**41,335,375**	**41,560,280**	Level 3
Advances and other loans	-	-	-	98,525,051	**98,525,051**	**98,629,448**	Level 3
Total financial assets	**-**	**1,106,441**	**12,374,437**	**139,860,426**	**153,341,304**	**153,709,248**	
Deposits liabilities	-	-	-	50,587,239	**50,587,239**	**50,807,157**	Level 3
Interest bearing borrowings	-	-	-	113,113,592	**113,113,592**	**112,992,570**	Level 3
Total financial liabilities	**-**	**-**	**-**	**163,700,831**	**163,700,831**	**163,799,727**	

For the cash and cash equivalents, short term receivables and payables, the fair value reasonably approximates its costs.

Lanka Orix Leasing Company PLC
Segmental Information

For the six month period ended 30 September 2015	Financial Services	Life & General Insurance	Manufacturing & Trading	Leisure & Entertainment	Plantation & Hydro power	Equity Accounted Investees	Others / Eliminations	Total
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Gross income	21,753,162	1,705,270	6,521,123	474,658	2,919,998	-	(2,487,586)	**30,886,625**
Cost of sales	-	-	(4,499,436)	(96,841)	(1,608,702)	-	4,740	**(6,200,239)**
Net finance cost	(8,320,643)	-	(356,306)	(188,149)	(145,834)	-	602,502	**(8,408,430)**
Profit before operating expenses	**13,432,519**	**1,705,270**	**1,665,381**	**189,668**	**1,165,462**	**-**	**(1,880,344)**	**16,277,956**
Operating expenses	(8,482,494)	(1,614,141)	(1,390,042)	(517,803)	(1,319,652)	-	1,663,426	**(11,660,706)**
Results from operating activities	**4,950,025**	**91,129**	**275,339**	**(328,135)**	**(154,190)**	**-**	**(216,918)**	**4,617,250**
Share of profits of equity accounted investees	-	-	-	-	-	1,256,646	-	**1,256,646**
Profit before taxation	**4,950,025**	**91,129**	**275,339**	**(328,135)**	**(154,190)**	**1,256,646**	**(216,918)**	**5,873,896**
For the six month period ended 30 September 2014								
Gross income	15,158,636	1,345,961	5,041,431	472,894	-	-	(1,468,038)	20,550,884
Cost of sales	-	-	(3,310,110)	(94,726)	-	-	14,355	(3,390,481)
Net finance cost	(6,240,305)	-	(327,574)	(257,507)	-	-	86,289	(6,739,097)
Profit before operating expenses	8,918,331	1,345,961	1,403,747	120,661	**-**	**-**	(1,367,394)	10,421,306
Operating expenses	(5,902,687)	(1,280,233)	(962,880)	(431,101)	-	-	814,697	(7,762,204)
Results from operating activities	3,015,644	65,728	440,867	(310,440)	-	-	(552,697)	2,659,102
Share of profits of equity accounted investees	-	-	-	-	-	1,048,699	-	1,048,699
Profit before taxation	3,015,644	65,728	440,867	(310,440)	-	1,048,699	(552,697)	3,707,801

For the six month period ended 30 September 2015	Financial Services	Life & General Insurance	Manufacturing & Trading	Leisure & Entertainment	Plantation & Hydro power	Equity Accounted Investees	Others / Eliminations	Total
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Net impairment (loss) / reversal on financial assets	1,340,874	-	-	-	-	-	-	**1,340,874**
Depreciation and amortization	241,834	22,004	147,540	114,721	116,268	-	11,373	**653,740**
Total assets (as at 30 September 2015)	268,897,879	5,658,864	26,308,371	22,153,424	18,563,641	-	(49,149,105)	**292,433,074**
Total liabilities (as at 30 September 2015)	223,683,339	3,469,321	13,311,804	5,901,100	7,001,667	-	(22,762,072)	**230,605,159**
For the six month period ended 30 September 2014								
Net impairment (loss) / reversal on financial assets	1,065,612	-	-	-	-	-	612,366	**1,677,978**
Depreciation and amortization	216,723	26,347	68,346	97,997	-	-	37,379	**446,792**
Total assets (as at 30 September 2014)	181,777,099	3,181,812	21,437,306	16,293,755	-	-	(23,309,156)	**199,380,816**
Total liabilities (as at 30 September 2014)	143,708,794	2,032,663	10,549,194	7,106,907	-	-	(9,247,416)	**154,150,142**

Lanka Orix Leasing Company PLC

Statement of Directors' holding and Chief Executive Officer's holding in shares of the Entity as at 30 September 2015

Directors Name	No of shares	%
Mr. R M Nanayakkara *Chairman*	172,492,292	36.299
Mr. I C Nanayakkara *Deputy Chairman (Also Alternate Director to Mr R M Nananayakkara)*	59,895,500	12.604
Mr. W D K Jayawardena *Group Managing Director / CEO*	-	-
Mrs. K U Amarasinghe	23,760,000	5.000
Deshamanya M D D Peiris	-	-
Mr. R A Fernando	12,600	0.003
Mr. H Yamaguchi	-	-
Mr. H Nishio	-	-

Top 20 shareholders as at 30 September 2015

	Shareholder	No. of Shares	% of Issued Capital
1	Mr. R M Nanayakkara	172,492,292	36.299
2	Orix Corporation	142,560,000	30.000
3	Mr. I C Nanayakkara	59,895,500	12.604
4	Mrs. K U Amarasinghe	23,760,000	5.000
5	Employees Provident Fund	15,182,259	3.195
6	HSBC Intl Nom Ltd - BBH - Mathews International Funds	12,121,473	2.551
7	Dr. R R De Silva	7,602,599	1.600
8	HSBC Intl Nom Ltd - State Street Luxembourg C/O SSBT-ABN	6,937,775	1.460
9	Mrs. I Nanayakkara	2,827,948	0.595
10	Employees Trust Fund Board	2,740,493	0.577
11	Mr. M Radhakrishnan	1,500,000	0.316
12	HSBC - Mr. R C De Silva	1,150,000	0.242
13	Mr. G G Ponnambalam	1,044,960	0.220
14	Dr. M Ponnambalam	1,044,960	0.220
15	Swasthika Mills LTD	1,006,800	0.212
16	Mrs. S N Fernando	818,440	0.172
17	Mr. S Nadesan	660,000	0.139
18	National Savings Bank	606,900	0.128
19	CONFIFI Management Services LTD	600,000	0.126
20	HSBC Intl Nom Ltd - BBH - Mathews Emerging Asia Fund	573,466	0.121
		455,125,865	**95.776**

The Public Shareholding as at 30 September 2015 was 15.50% comprising of 3,082 shareholders.